

Once the cold chain infrastructure is put in place, the benefits of which are quite apparent, it will help the country tame the sky-rocketing prices, provide livelihood to thousands of people and make best use of the limited resources which often get wasted in the supply chain.

The ministry has envisaged the concept of Mega Food Parks (MFP) to improve and provide infrastructure facilities for the FPI in diverse parts of the country. The government is providing 50 % assistance with a cap of Rs. 50 crore in the project based on the PPP model.

Each of these food parks involves creation of common infrastructure in a minimum area of 50 acres. It will work on a hub and spoke model. Each of them would have a Core Processing Centre (CPC) supported by a few farm proximate Primary Processing Centres (PPC) in a radius of about 100-150 km. These PPCs will be supported by on-farm Collection Centres (CCs). There will 25-35 processing units in the CPC, which will have links with the farmers' groups and self help groups, facilitate contract farming and other backward-forward linkages. There is a centralized cold storage facility so that even small-time producers can directly use this facility and add value to the product.

India is the world's second largest food producer. Yet contribution to GDP is only about 17%, despite 55 to 60% of Indians employed in agriculture related activities. This is owing to improper value-addition of the produced food. With as many as 20 agro-climatic zones and various soil types, a wide spectrum of food-types is produced like - fruit & vegetable, fisheries, meat & poultry, milk & dairy, grain & cereals, beverages and consumer foods.

The country is wasting fruits and vegetables worth about 30-40 thousand crore annually. Unfortunately, most of the Indian farmers are small holders; their average farm size is 1.6 hectares, and farmers are linked with exploitative intermediaries in the food chain who are unable to invest in

Budget Announcement 2010-2011

- Provide project import status at a concessional customs duty of 5 per cent with full exemption from service tax to the initial setting up and expansion of
 - Cold Storage, cold room including farm pre- coolers for preservation or storage of agriculture and related sectors produce; and
 - Processing units for each produce.
- Provide full exemption from customs duty to refrigeration units required for the manufacture of refrigerated vans or trucks.
- Provide Concessional customs duty of 5 per cent to specified agriculture machinery not manufactured in India ;
- Provide central excise exemption to specified equipment for preservation, storage and processing of agriculture and related sectors and exemption from service tax to the storage and warehousing of their produce.

food processing units either. There a severe need to integrate the farming with the food processing.

The immediate priorities of the ministry are firstly, processing level must go up to reduce the wastage. The producer and the processor must have a link. With proper linkage between farmers and processors, farm produce becomes raw material and once it becomes raw material, the farmer gets the edge to bargain. Secondly, the food processing industry must get its raw material seamlessly. The flow of raw material should not be disturbed. This will give an edge to the industry. At the same time the cold chain, the supply chain, all should work in tandem.

Thirdly, quality standard is another priority area. For the processed food industry, attaining international standard is a must, because without the international market we cannot grow.

POLICY INITIATIVES

Most of the processed food items have been exempted from the purview of licensing under the industries (Development & Regulation) Act, 1951 , except items reserved for the small- scale sector and alcoholic beverages.

Food processing industries were included in the list of priority sectors for bank lending.

Automatic approval for foreign equity upto 100% is available for most of the processed food items excepting alcohol and beer and those reserved for small- scale sector subject to certain conditions.

